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FUNDING GREEN TRANSITION

Trump's climate finance rollback should accelerate efforts to unlock finance that help us stay the course

ONE OF THE FIRST decisions of Trump's second administration was to pull out of the Paris Agreement and retract from its financial contributions to global climate mechanisms. Add to it the sleight of tariffs which increase the risk of continued volatility in global markets, rise in inflation, protectionism, and economic slowdown. These developments can result in countries and firms stepping sideways on climate action, possibly hurting the green transition momentum in the short term.

In these uncertain times, green transition presents itself as a strong economic offering for India. Financing such a climate responsive development transformation is not without challenges. If anything, Trump's moves should accelerate our efforts domestically and internationally to unlock finance that help us stay the course.

MULTILATERAL CLIMATE FINANCE FOR INDIA

The UNFCCC linked multilateral climate finance, where the US has been the dominant contributor, disbursed by Global Climate Fund (GCF), Global Environment Facility (GEF) and Adaptation Fund (AF) has supported India with a total of \$1.16 billion in support until 2024. Quantitatively very small, this kitty is still very important for India as these play a catalytic role in stimulating markets, fos-

tering innovation, reducing risk, and supporting policy and institution-building. Riddled with long drawn process for approvals, this funding does mar any efficiency gains and adds to the opportunity cost.

World Bank and the ADB channel \$5 to \$6 billion a year in low-cost financing to support India's climate and development goals. They also come with substantial technical assistance critical for green transition.

The US is the largest shareholder in these banks and is reviewing its support. Rating agencies like the Moody's conjecture that a US pullout from the multilateral development banks (MDBs) may not happen as it reduces US' political advantage making way for China to dominate international development finance. But, if the US contribution does reduce materially, this may lower the AAA investment rating of these MDBs making the cost of borrowing from them more expensive for India.

The massive climate finance gap of up to \$200 billion a year overshadows the support we receive from UNFCCC funds and the MDBs. And yet without this support many green projects wouldn't get over the line. Irrespective of Trump, the solution to the financing challenge for India's green transition does not lie in increasing our reliance on multilateral capital alone.

India needs to prepare its sus-